# SCHEDULE BTMM

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BEHIND THE METER MICROGRID N

APPLICABILITY N

Pursuant to California Public Utilities Commission Decision (D.) 21-01-018, Schedule BTMM establishes a reference guide for all individually metered customers pursuing the installation and use of a Behind-the-Meter Microgrid (BTMM), as defined below.

TERRITORY

Within the entire territory served by SDG&E.

RATES

All rates charged to a BTMM Customer will be in accordance with the BTMM Customer's otherwise applicable rate schedule(s) (OAS). SDG&E rates and rate design, including the rates and rate design referenced in this Tariff, are subject to change from time to time. Customers should take this into consideration when making any long-term decisions based on rate structures that are currently in place.

SPECIAL CONDITIONS

A. Definitions: The definitions of capitalized terms used in this Schedule are either found herein or in Rule 1, the rate schedules and rules referenced in this Schedule, or the BTMM Customer's OAS.

1. Behind-the-Meter Microgrid (BTMM): A Microgrid system that:

   a) involves a single customer establishing a Microgrid behind a single Utility billing meter;
   b) consists of resources that are interconnected under Electric Rule 21; and
   c) consists of resources that are individually eligible for a NEM successor tariff that reflects the orders in D.16-01-044.[1]

2. Distributed energy resource (DER): As defined under Public Utilities (PU) Code Section 8370(b), a DER is an electric generation or storage technology that complies with the emissions standards adopted by the State Air Resources Board pursuant to the distributed generation certification program requirements of Section 94203 of Title 17 of the California Code of Regulations, or any successor regulation.

3. Microgrid: As defined in PU Code Section 8370(d), a Microgrid is an interconnected system of loads and energy resources, including, but not limited to, distributed energy resources, energy storage, demand response tools, or other management, forecasting, and analytical tools, appropriately sized to meet customer needs, within a clearly defined electrical boundary that can act as a single, controllable entity, and can connect to, disconnect from, or run in parallel with, larger portions of the electrical grid, or can be managed and isolated to withstand larger disturbances and maintain electrical supply to connected critical infrastructure.

4. BTMM Customer: A BTMM Customer is a customer that has installed a BTMM.

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[1] SDG&E's legacy NEM schedule is Schedule NEM and its successor NEM schedule is Schedule NEM-ST N

(Continued)

# SCHEDULE BTMM



BEHIND THE METER MICROGRID

SPECIAL CONDITIONS (continued)

B. Existing Tariffs That May Apply to BTMM Customers: The existing tariffs listed below represent the tariffs that are currently the most commonly applicable tariffs to BTMM Customers. However, other existing or future tariffs may apply. BTMM Customers remain responsible for complying with all other applicable tariffs.

1. Electric Rule 19 (Rule 19) – Supply to Separate Premises and Resale: A BTMM Customer shall not furnish or use electricity received from the Utility upon other Premises for purposes other than those specified in the customer's application for service or in the applicable rate schedule, except for those allowed under Rule 19, Section D.

2. Electric Rule 21 (Rule 21) – Generating Facility Interconnections: Rule 21 applies to all BTMM Customers operating a Generating Facility in parallel with the Utility's electric grid and describes the Interconnection, operating, and Metering requirements for those Generating Facilities to be connected to Utility's electric grid.

3. Miscellaneous

a) Schedule NEM – Net Energy Metering: Pursuant to Public Utilities (PU) Code Section 2827, Schedule NEM is applicable to a residential, small commercial (as defined in subdivision (h) of Section 331 of the PU Code), commercial, industrial, or agricultural customer who uses a Renewable Electrical Generation Facility, as defined in Schedule NEM Special Condition 1.b, or a combination of those facilities, with a total capacity of not more than 1,000 kilowatts (kW) (also referred herein as 1 megawatt [MW]) that is located on the customer's owned, leased, or rented premises, is interconnected and operates in parallel with the Utility's transmission and distribution systems, and is intended primarily to offset part or all of the customer's own electrical requirements (hereinafter "eligible customer-generator" or "customer"). Notwithstanding the definition of "eligible customer-generator" or "customer" provided above, such definition shall also include the California Department of Corrections and Rehabilitation (CDCR), as set forth in Special Condition 9 of Schedule NEM and the United States Armed Forces (USAF), as set forth in Special Condition 10 of Schedule NEM. Schedule NEM is also applicable to customers whose Renewable Electrical Generation Facility meets the definition of NEM Paired Storage set forth in Schedule NEM Special Condition 11.

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# SCHEDULE BTMM



BEHIND THE METER MICROGRID

SPECIAL CONDITIONS (continued)

B. Existing Tariffs That May Apply to BTMM Customers (continued)

3. Miscellaneous (continued)

b) Schedule NEM-ST – Net Energy Metering – Successor Tariff: Pursuant to PU Code Section 2827.1, Schedule NEM-ST is applicable to a residential, small commercial (as defined in subdivision (h) of Section 331 of the PU Code), commercial, industrial, or agricultural customer who uses a Renewable Electrical Generation Facility ("REGF"), as defined in Schedule NEM-ST Special Condition 1.b, that is located on the customer's owned, leased, or rented premises, is interconnected and operates in parallel with the Utility's transmission and distribution systems, and is intended primarily to offset part or all of the customer's own electrical requirements (hereinafter "eligible customer-generator" or "customer"). Notwithstanding the definition of "eligible customer-generator" or "customer" provided above, such definition shall also include the California Department of Corrections and Rehabilitation (CDCR), as set forth in Schedule NEM-ST Special Condition 8. Certain incremental billing and metering costs set forth in Schedule NEM-ST that are related to net energy metering are applicable to Energy Service Providers (ESPs) serving eligible customer-generators. Schedule NEM-ST is also applicable to customers whose REGF meets the definition of NEM Paired Storage set forth in Schedule NEM-ST Special Condition 10.

c) Schedule CGDL-CRS – Customer Generation Departing Load Cost Responsibility Surcharge: The Customer Generation Departing Load Cost Responsibility Surcharge (CGDL-CRS) is applicable to all customers that have Customer Generation Departing Load as defined in Schedule CGDL-CRS Special Conditions 2 and 3 who are not exempt or do not receive an exception as set forth in Schedule CGDL-CRS Special Condition 4.

d) Schedule E-DEPART – Departing Load – Nonbypassable Charges: Schedule E-DEPART (E-DEPART) is applicable to all customers that have Departing Load as defined in E-DEPART, Special Condition 1 and who are not otherwise exempt as set forth in E-DEPART, Special Condition 3.

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# SCHEDULE BTMM

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BEHIND THE METER MICROGRID N

SPECIAL CONDITIONS (continued) N

B. Existing Tariffs That May Apply to BTMM Customers (continued)

3. Miscellaneous (continued)

e) Schedule S: Standby Service: Applicable for service to any customer with an electric generator that is operated in parallel with the Utility. If another Rate Schedule provides for applicable service to the customer as an option, then Schedule S will become an option to that customer. The service provided on Schedule S is standby or breakdown service where all or part of the customer's electrical requirements are supplied by a generation source, other than the Utility, which is located on the customer's premises. Schedule is not applicable to customers who have chosen, in the generation agreement, to sell power to the Utility on a simultaneous purchase and sale basis.

Solar Customers who are taking service under the Utility's Net Energy Metering tariff are exempt from standby charges. In addition, Solar Customers that are less than or equal to one megawatt to serve load and who do not sell power or make more than incidental export of power into the Utility's power grid are also exempt from standby charges. Non solar customers taking service under one of SDG&E's Net Energy Metering schedules may be exempt from standby charges pursuant to PU Code Section 2827.

f) Multiple Tariff Facilities: The terms and conditions applicable to Multiple Tariff Facilities are set forth under Schedules NEM and NEM-ST, Special Condition 5.

C. Application and Review Process:

1. BTMMs Operating in Parallel with the Utility's Electric Grid: BTMM Customers seeking to install a BTMM that will operate in parallel with the Utility's electric grid shall submit an Interconnection Request in accordance with the provisions in Rule 21.

2. BTMMs Consisting of Backup Generation that Do not Operate in Parallel with the Utility's Electric Grid: BTMM Customers seeking to establish a BTMM that will not operate in parallel with the Utility's electric grid shall submit an Emergency/Standby Generator Installation Request, Form 142-02776. N